



Financial Statement Analysis

Fiscal Year 2024

Year ended December 31, 2024

PRESENTED BY

Shlok Gohil & Arnav Agrawal

EVENT

FBLA Financial Statement Analysis

Brand Identity & Mission

- 🌱 **Food With Integrity:** A core operating philosophy built on serving fast food without compromising on high-quality ingredients, ethical sourcing, and sustainability.
- ✅ **Fresh & Customizable:** Known for made-to-order meals (burritos, bowls, tacos, salads) prepared fresh daily in-restaurant with no artificial flavors or preservatives.
- ♥️ **Strong Loyalty:** Brand strength driven by menu simplicity, speed of service, and transparency in food sourcing.

Founding & History

- 🕒 Founded in **1993** by Steve Ells in Denver, Colorado, with the revolutionary idea that food served fast didn't have to be a traditional "fast-food" experience.

Source: Chipotle Mexican Grill, Inc. Corporate Profile

Global Scale

Chipotle has grown from a single location to a massive international presence, primarily operating company-owned restaurants to maintain strict quality control.

3,700+

Restaurants Globally

130k+

Employees

What We Do

We serve a focused menu of Mexican-inspired food. Our revenue model is driven by:

- High-volume in-store dining
- Rapidly growing digital sales (app/web)
- Efficient "Chipotlanes" (drive-thru pickup)

Business Model & Scale

 **Fast-Casual Leader:** Focus on "Food with Integrity"—serving real ingredients, prepared fresh daily without artificial flavors, colors, or preservatives.

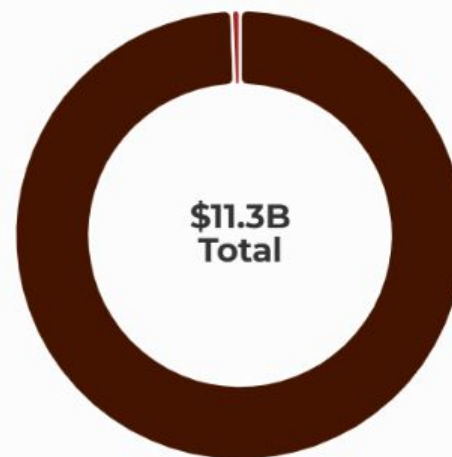
 **Primary Revenue Source:** Overwhelming majority driven by **Food & Beverage Sales** (\$11.247B in 2024), with delivery service revenue representing a minimal share.

 **Operational Scale:** U.S.-focused portfolio of primarily **Company-Owned Restaurants** (3,726 units).

Strategic Shift

While historically 100% company-owned, Chipotle has begun a cautious expansion into licensed locations, ending 2024 with 3 licensed units internationally.

Source: Chipotle Mexican Grill, Inc. SEC Form 10-K (FY ended Dec 31, 2024)



■ Food & Beverage ■ Delivery Service

Revenue Mix (2024)

Delivery fees account for <1% of total revenue

Unit Expansion Strategy

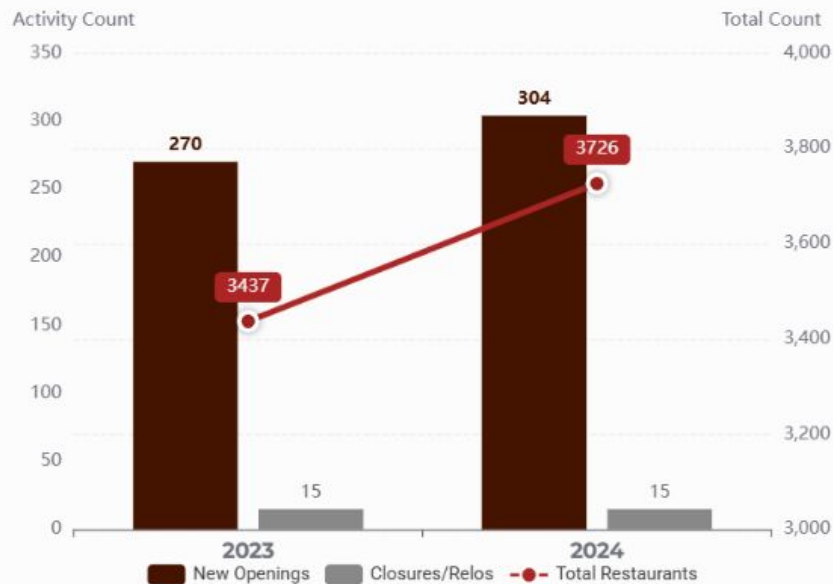
+289

NET NEW RESTAURANTS

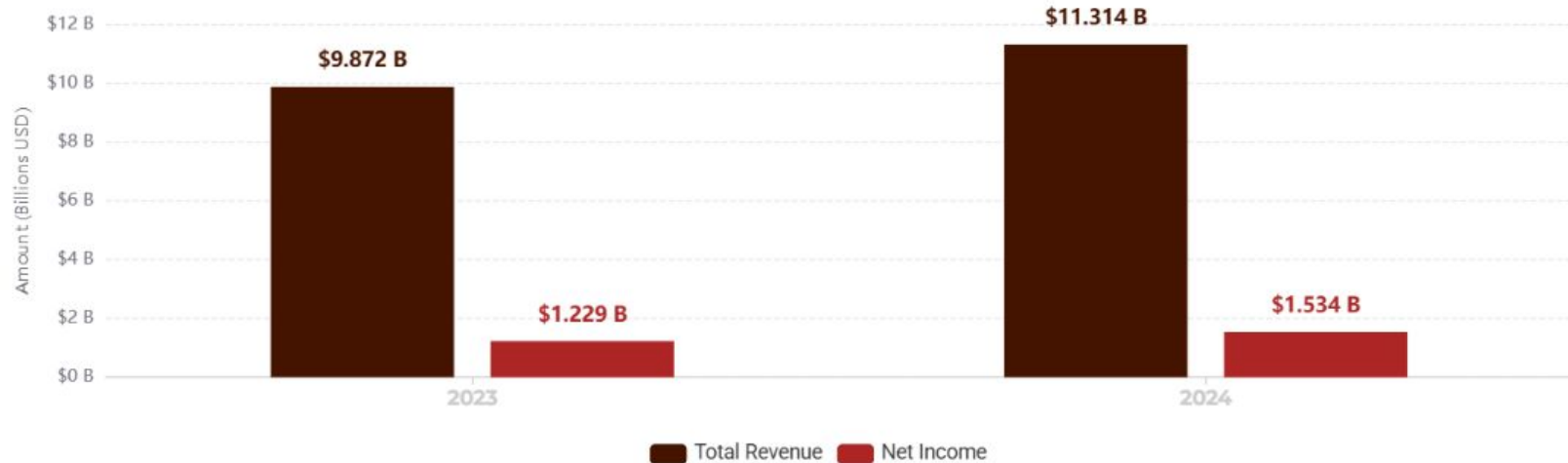
3,726

TOTAL LOCATIONS

-  **Robust Unit Growth:** Company-owned restaurant count increased 8.4% year-over-year (from 3,437 to 3,726), demonstrating aggressive expansion confidence.
-  **Development Pipeline:** Opened **304 new locations** in 2024, with a strategic focus on locations with "Chipotlane" drive-thrus for digital order pickup.
-  **Portfolio Health:** Minimal churn with only 7 permanent closures and 8 relocations, signaling strong site selection and operational performance.
-  **International/Licensed:** Modest step into licensing with 3 locations added in 2024 (Middle East), planting seeds for future international scalability.



Openings vs. Ending Unit Count
Accelerating footprint with minimal closures

TOTAL REVENUE
\$11.31 B ↑ 14.6%
NET INCOME
\$1.53 B ↑ 24.8%
FOOD & BEVERAGE REV
+14.7% YoY
COMP RESTAURANT SALES
+7.4% YoY
Revenue and Net Income Growth Trend (2023 vs 2024)


Growth Drivers

Comparable Sales **+\$695.4M**

New Restaurants ('23) **+\$453.7M**

New Restaurants ('24) **+\$290.4M**

Comp Sales (+7.4%)

Transactions **+5.3%**

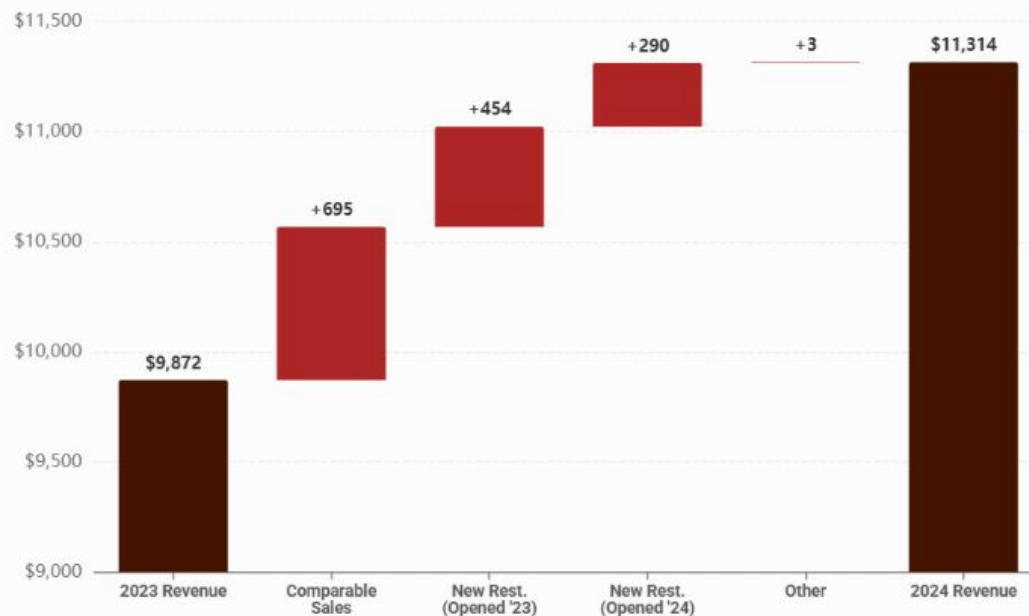
Menu Price Increase **+2.9%**

Average Check **+2.1%**

Check Mix **-0.8%**

Note: Revenue growth was driven by a balanced combination of transaction volume and strategic pricing actions, partially offset by negative mix shift.

Revenue Bridge: 2023 to 2024 (Millions USD)



Cost Structure Analysis

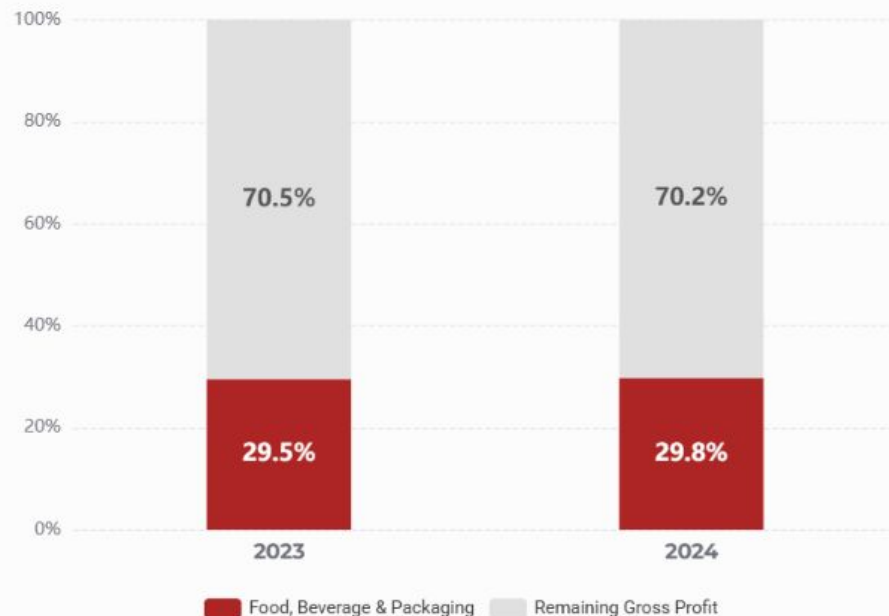
2024 COST AS % OF REVENUE

29.8% ↑ 0.3% YoY

Total Cost: \$3.37 Billion (+15.9%)

-  **Primary Drivers:** Inflation across key ingredients (specifically avocados and proteins) and product mix shifts.
-  **Strategic Investment:** Conscious decision to ensure "consistent and generous portions" increased usage, partially offsetting pricing benefits.
-  **Offset:** Benefit from menu price increases (~1.0%) helped mitigate raw dollar inflation.

Food, Beverage & Packaging Costs vs. Margin (% of Rev)



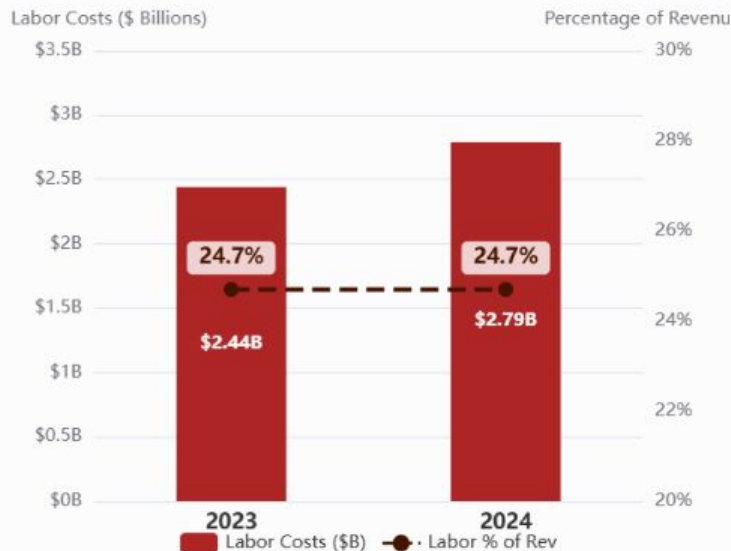
Cost Efficiency & Wage Pressure

- 📊 **Absolute Cost Growth:** Labor costs increased to **\$2.79B** (+14.3%), driven primarily by wage inflation and new restaurant staffing.
- ⚡ **Efficiency Maintained:** Despite rising wages, labor as a percentage of revenue remained **flat at 24.7%**, demonstrating exceptional cost control.
- 📈 **Key Drivers:** Benefits from **sales leverage (+1.1%)** fully offset wage inflation (-0.9%), including the impact of California's minimum wage increase (-0.4%).

Operational Insight

Chipotle's ability to maintain flat labor margins in an inflationary wage environment (especially in CA) indicates strong pricing power and operational throughput gains.

Source: Chipotle Mexican Grill, Inc. SEC Form 10-K (FY ended Dec 31, 2024)



Labor Costs Trend (2023 vs 2024)

Costs rose +14.3%, but revenue leverage kept margin impact neutral

Operational Efficiency Analysis

COMBINED OPERATING OVERHEAD (% OF REV)

18.9% ↓ 0.7% YoY

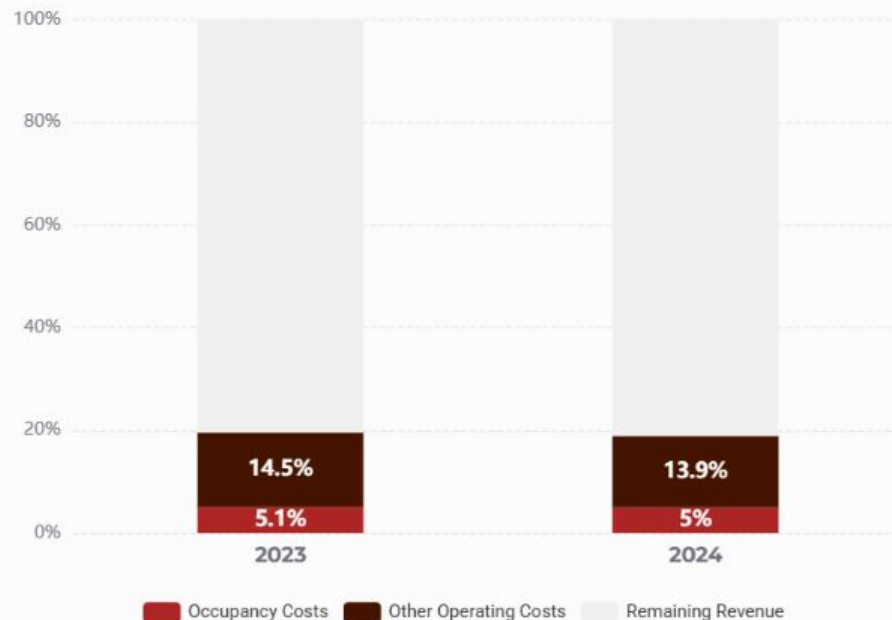
Total Efficiency Gain from Sales Leverage

 **Occupancy Costs (5.0%):** Decreased 10 bps due to sales leverage, partially offset by new unit openings (\$563M total spend).

 **Other Operating Costs (13.9%):** Improved by 60 bps (\$1.57B total), driven by lower delivery-related expenses and fixed cost leverage.

 **Impact:** Efficient overhead management was a primary contributor to the 1.1% expansion in overall operating margin.

Cost Structure Improvement (2023 vs 2024)



Scalability & Cost Control

Efficiency Gains: G&A expenses increased 10.1% to \$697.5M, but **declined as a percentage of revenue** (6.4% → 6.2%). This demonstrates strong corporate scalability as revenue growth (14.6%) outpaced overhead.

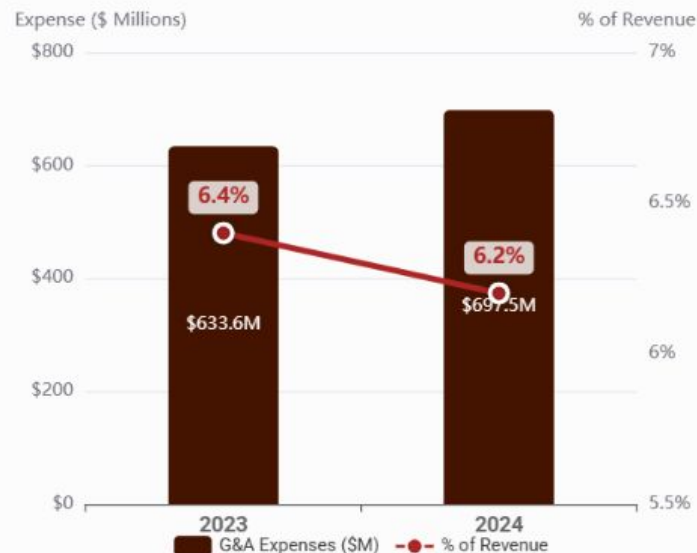
Key Drivers of Increase (+\$63.9M):

Wages & Performance Bonus	+\$20.5M
Biennial All Managers' Conference	+\$17.7M
Legal Contingencies	+\$16.6M
Corporate Initiatives / Stock Comp	+\$13.4M
Restructuring Costs	(\$6.5M)

Strategic Insight

The ability to leverage corporate overhead is a key driver of the 1.1% operating margin expansion. Digital and technology investments are scaling effectively across the larger restaurant base.

Source: Chipotle Mexican Grill, Inc. SEC Form 10-K (FY ended Dec 31, 2024)



G&A Trends (2023 vs 2024)
Dollar growth offset by sales leverage

Profitability Highlights

OPERATING INCOME

\$1.92 B

↑ 22.9% YoY

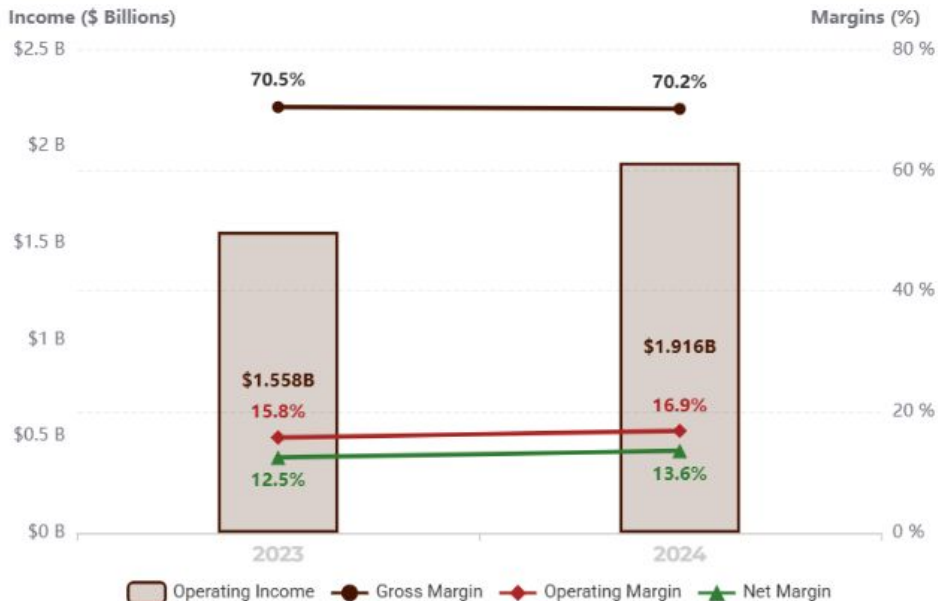
NET INCOME

\$1.53 B

↑ 24.8% YoY

- ✓ **Margin Expansion:** Operating margin expanded by 110 bps to 16.9%, driven by sales leverage and cost discipline.
- ✓ **Gross Margin Pressure:** Slight compression (-30 bps) due to inflation and generous portions, offset by pricing.
- ✓ **Scalability:** Net income grew faster than revenue (+24.8% vs +14.6%), demonstrating strong flow-through.

Profitability Trends: Income (\$) vs. Margins (%)



Asset Growth & Composition

 **Total Assets:** Increased to \$9.20B (+14.4%), driven by cash generation and new restaurant expansion.

 **Liquidity Strength:** Cash & equivalents rose to \$748.5M (+33.5%), signaling robust operational cash flow.

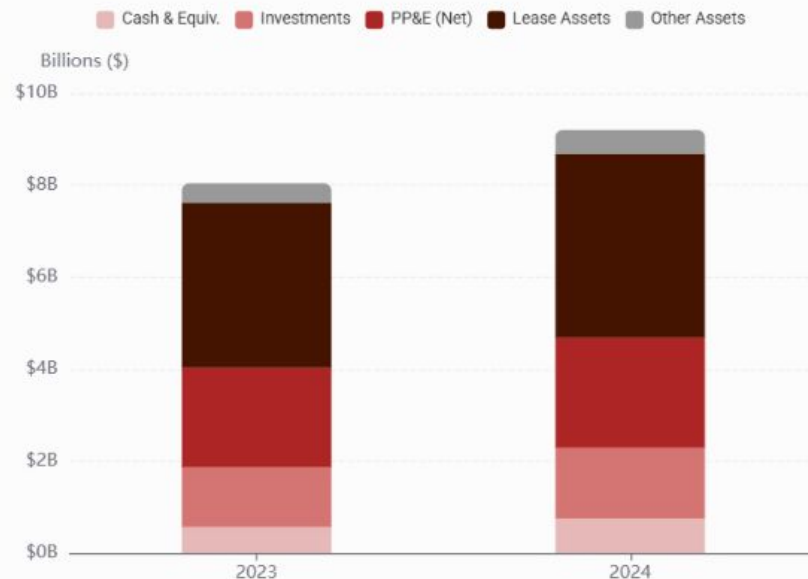
 **Physical Expansion:** PP&E grew by \$220.1M to \$2.39B, reflecting significant investment in new restaurant construction.

 **Operating Leases:** Represents the largest asset class at \$4.0B (+11.8%), correlating with unit count growth.

Investment Strategy

Shift toward long-term investments (\$868M, +54%) indicates confidence in liquidity position and desire for yield.

Source: Chipotle Mexican Grill, Inc. Consolidated Balance Sheets (2024)



Asset Composition (2023 vs 2024)
Growth driven by Leases, PP&E, and Cash

Financial Health Snapshot: Chipotle maintains a **pristine balance sheet** with zero long-term debt, robust liquidity reserves (\$2.2B), and strong working capital metrics, enabling self-funded growth.

CURRENT RATIO



1.52x

Vs 1.57x Slight decline, remains very healthy >1.0

QUICK RATIO



1.40x

Vs 1.42x Excludes inventory; high liquid asset base

WORKING CAPITAL



\$612 M

↑\$22M Current Assets minus Current Liabilities

CASH & INVESTMENTS



\$2.2 B

Strong Includes cash equivalents & marketable securities

LONG-TERM DEBT



\$0

Solvent No interest-bearing long-term debt obligations

CREDIT CAPACITY



\$500 M

100% Avail Undrawn revolving credit facility

Cash Flow Summary

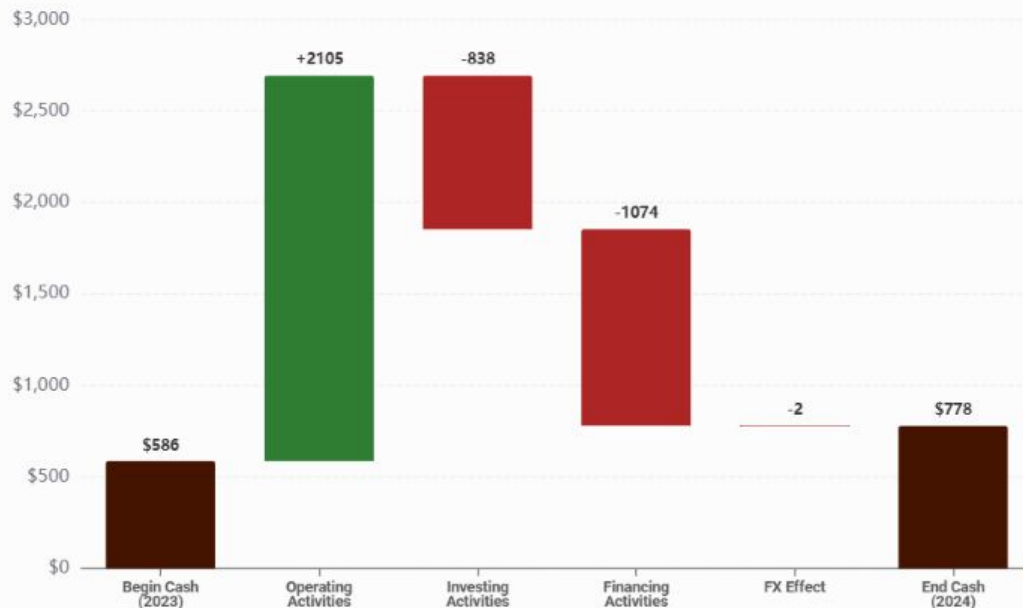
Operating (OCF)	\$2,105M
Investing	(\$838M)
Financing	(\$1,074M)

Free Cash Flow

Capital Expenditures	\$594M
Free Cash Flow (FCF)	~\$1,511M
FCF Margin	13.4%
Share Repurchases	\$1,002M

Strong operating cash flow (\$2.1B) fully funded all capital expenditures and \$1.0B in share repurchases, while still increasing the total cash position by \$192M.

Change in Cash Position: 2023 to 2024 (Millions USD)



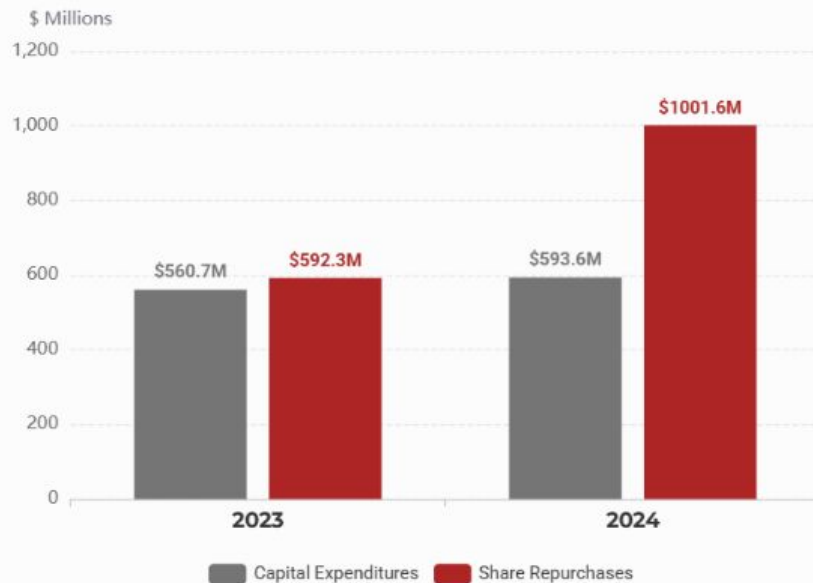
Deployment Strategy

-  **Share Repurchases:** Aggressive return of capital with **\$1.0B** repurchased in 2024 (+69% YoY). Represents ~66% of Free Cash Flow, demonstrating confidence in intrinsic value.
-  **Capital Expenditures (Capex):** Invested **\$593.6M** primarily in new restaurant construction (~\$1.5M gross cost per unit) and technology initiatives to boost throughput.
-  **Future Outlook:** 2025 Capex expected to rise to ~\$684M to support accelerated unit growth. \$1.0B remains on current share repurchase authorization.

Capital Discipline

Chipotle maintains a "Growth First" hierarchy: 1) Invest in high-return new units, 2) Maintain existing fleet, 3) Return excess cash via buybacks (no dividends).

Source: Chipotle Mexican Grill, Inc. FY 2024 Consolidated Statement of Cash Flows



Capital Deployment Trends (2023 vs 2024)

Significant acceleration in shareholder returns while maintaining steady growth investment

Risk Category	Description & Impact	Mitigation Strategy
 Commodity Prices	Exposure to price volatility in key ingredients (avocados, beef, dairy) and packaging. Prices affected by weather, global demand, and supply chain issues.	Use of forward pricing, fixed pricing, and formula pricing protocols (1-24 months). Increasing supplier diversity to ensure continuity.
 Interest Rates	Significant cash and investment balances (\$2.2B) exposed to interest rate fluctuations, impacting interest income and fair value of fixed-income securities.	Investment portfolio diversification across U.S. Treasuries, money market funds, and time deposits to balance yield and risk.
 Foreign Currency	Translation adjustments from international operations (Canada, UK, France, Germany). Currently immaterial as operations are predominantly U.S.-based.	Natural hedging via operational scale; risk remains limited but is monitored as international expansion continues.



SEASONALITY

Quarterly Fluctuations & Other Factors

Q1 & Q4 Weakness: Historically lower average daily sales and net income due to holiday season dynamics and winter weather affecting guest traffic.

Q2 & Q3 Strength: Spring and summer months typically drive higher volume. Restaurants near universities see fluctuations based on the academic calendar.

Other Variables: Quarterly results are also sensitive to the timing of marketing spend, new restaurant opening cadence (inefficiencies in early months), and stock-based compensation vesting cycles.

FY 2024 Financial Snapshot: Chipotle demonstrates a **superior financial profile** characterized by expanding profitability margins, robust cash generation capabilities, and a fortress balance sheet with zero long-term debt.

OPERATING MARGIN



16.9%

↑1.1% Profitability expanded from 15.8%

NET MARGIN



13.6%

↑1.1% Efficiency driving bottom-line growth

OPERATING CASH FLOW



\$2.1 B

↑18.0% Strong cash generation from operations

FREE CASH FLOW



\$1.51 B

↑23.6% Investable cash after capital expenditures

CURRENT RATIO



1.52x

Liquidity Healthy coverage of short-term obligations

LONG-TERM DEBT



\$0

Solvent Zero interest-bearing long-term debt

What Changed from Prior Year?

REVENUE GROWTH

+14.6%

Comps + New Units

ASSET BASE

+\$1.16 B

Expanded footprint

OP CASH FLOW

+\$322 M

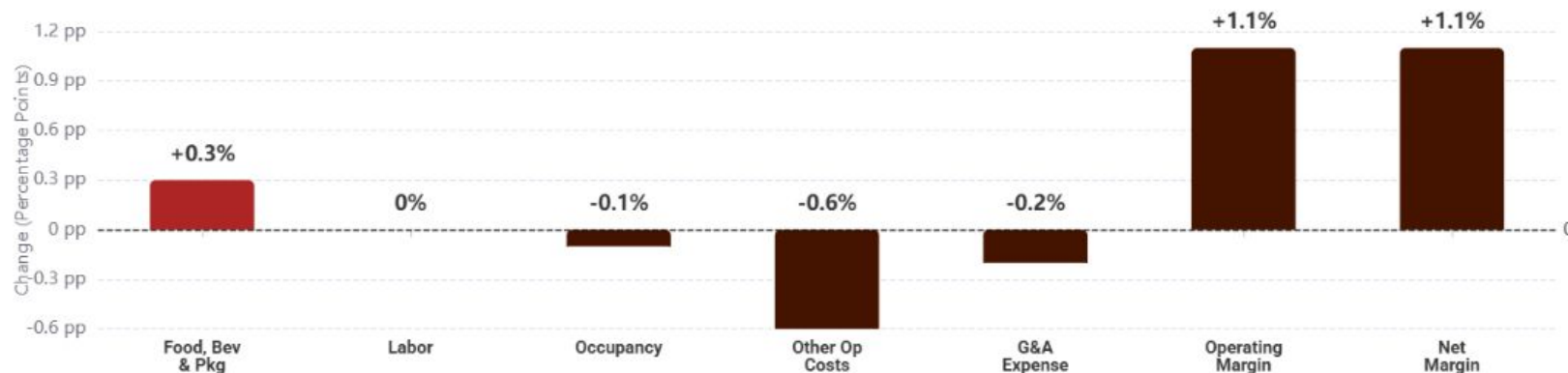
Improved profitability

SHARE BUYBACKS

+\$409 M

Capital return focus

Year-Over-Year Change in Cost Ratios & Margins (Basis Points Impact)

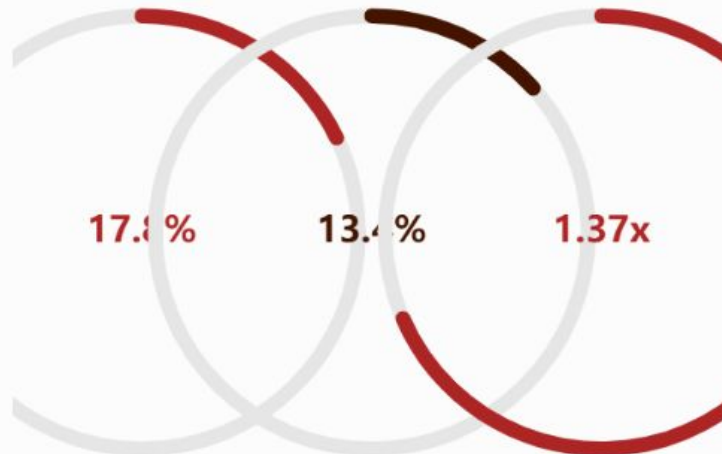


Strategic Financial Health

-  **Profitability:** Significant margin expansion driven by sales leverage and G&A scalability. Net income growth (+24.8%) outpaced revenue growth, demonstrating operational excellence.
-  **Liquidity & Cash Flow:** Robust liquidity with Current Ratio >1.5x and ~\$2.2B in cash/investments. Strong internal funding capacity for all planned capex.
-  **Operational Efficiency:** Maintained labor efficiency despite wage inflation. Reduced occupancy and other operating costs as percentage of sales reflect a scalable model.
-  **Solvency:** Zero long-term debt minimizes financial risk. Lease obligations are substantial but manageable given predictable, high-volume cash flows.

KEY INSIGHT: HIGH QUALITY OF EARNINGS

Chipotle's operating cash flow exceeds net income by **1.37x**, indicating high-quality earnings backed by actual cash generation rather than just accounting adjustments.



Performance Ratios (2024)

Metrics indicate a highly efficient capital deployer with strong cash conversion.

Chipotle has demonstrated exceptional resilience and growth in 2024, balancing aggressive expansion with rigorous cost discipline to deliver shareholder value.



Strong Execution

- **Double-Digit Growth:** Revenue +14.6% and Net Income +24.8% confirm the scalability of the model.
- **Operational Leverage:** Margins expanded despite inflationary pressures, proving the efficacy of pricing power and efficiency.
- **Cash Generation:** Free Cash Flow grew ~23.6%, fueling both reinvestment and returns.



Fortress Balance Sheet

- **Debt-Free:** Maintained zero long-term debt, eliminating interest rate risk on liabilities.
- **Robust Liquidity:** \$2.2B in cash and investments plus \$500M undrawn credit provides a massive safety net.
- **Working Capital:** Efficient management with a Quick Ratio of ~1.40x ensures short-term obligations are easily met.



Growth Trajectory

- **Aggressive Expansion:** Net unit growth of +8.4% (289 units) sets the stage for continued revenue compounding.
- **Self-Funded:** Operations generate sufficient cash to fully fund capex (\$683M planned for '25) and buybacks.
- **Efficiency Focus:** Investments in technology and automation will likely sustain margin advantages.

FINAL INVESTMENT THESIS

Chipotle remains a high-quality compounder with a best-in-class financial profile, well-positioned to navigate macroeconomic uncertainty while funding long-term growth internally.

FINANCIAL HEALTH

Robust

GROWTH OUTLOOK

Positive

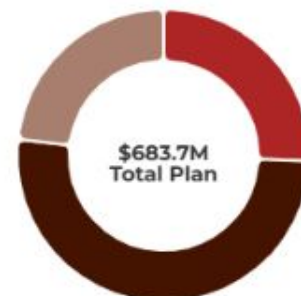
🔍 Strategic Rationale (FY 2024 Context)

- ↑ **Labor Cost Pressure:** Labor costs reached **\$2.79B (+14.3%)**. While efficiency kept costs flat at 24.7% of revenue, wage inflation (+0.9% impact) and California minimum wage hikes pose continued risks to margins.
- 🔧 **Throughput Opportunity:** With transactions up **+5.3%**, faster throughput directly amplifies revenue. Automation breaks the linear link between volume growth and labor hours.
- 💰 **Funding Capacity:** Strong cash generation (**\$1.51B FCF**) and zero debt allow for aggressive CapEx deployment without straining liquidity.

🛠️ Action Plan: The "Digital Kitchen" Initiative

- BOH Automation:** Deploy automated portioning (Autocado) and AI-driven prep scheduling to reduce food waste and prep time.
- Smart Orchestration:** Implement next-gen Kitchen Display Systems (KDS) to optimize sequencing for Chipotlanes and digital orders.
- Investment:** Allocate **~\$175M** (approx. 25% of 2025 planned CapEx) specifically to in-store operations technology.
- Execution:** Prioritize rollout in high-volume (\$3M+ AUV) and California locations to maximize ROI on labor savings.

Proposed 2025 Capital Allocation



- Ops Tech & Automation
- New Restaurant Dev.
- Refurbs & Maintenance

Targeting **~\$175M** for Ops Tech to combat wage inflation

20-30 bps

Reduction in Labor %
(Target)

+5-7%

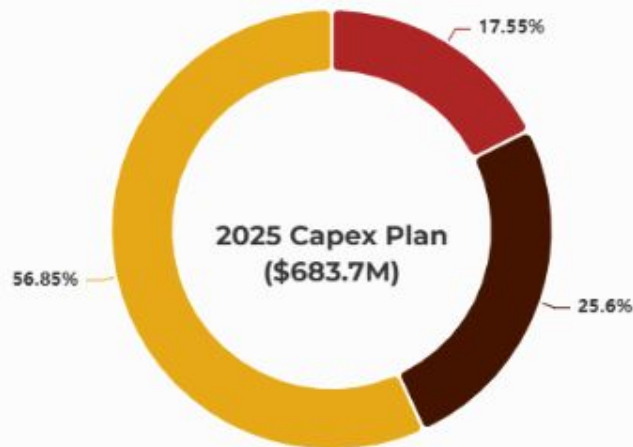
Trans. per Labor Hour
(Efficiency Gain)

🛡️ Supply Chain Hedging & Inflation Control

- 📌 **Rationale:** Food, Beverage & Packaging costs surged to **\$3.37B (+15.9%)**, reaching 29.8% of revenue (+30 bps). Short-term pricing exposes margins to volatility in avocados and proteins.
- 🛡️ **Action Plan:** Secure **12–24 month fixed-price contracts** for 50-60% of high-volatility inputs. Diversify supplier base to insulate operations from spot market inflation.

🌐 Aggressive International Expansion

- 📌 **Rationale:** Extreme U.S. concentration (3,726 units vs. only 3 international licensed) risks saturation. Sustainable double-digit growth requires a global TAM.
- 📌 **Action Plan:** Allocate **15–20% of 2025 Capex (\$102–137M)** to fund international rollout. Target **20–30 new international units** by YE 2025 to prove scalability.



● International Expansion (Proposed 17.5%)
 ● Tech & Automation (Rec. #1)
 ● Domestic Growth & Maintenance

Proposed 2025 Capital Allocation
Prioritizing global growth to diversify revenue

Works Cited

“FORM 10-K CHIPOTLE MEXICAN GRILL, INC.” Sec.gov, 31 Dec. 2024,
[www.sec.gov/ix?doc=/Archives/edgar/data/0001058090/000105809025000014/c
mg-20241231.htm](http://www.sec.gov/ix?doc=/Archives/edgar/data/0001058090/000105809025000014/cm-g-20241231.htm). Accessed 27 Jan. 2026.